

Executive Summary

PowerCo churn

Answer: use the churn model to target retention offers at high-risk customers

- Flagging the ~13% highest-risk customers catches 35% of all churners: a 26% hit rate vs. 10% at random (2.6x)
- Next: pilot a targeted discount on this group, measure saved revenue, then scale; blanket price cuts are not supported by the data

Situation: the energy market offers SME customers more choice than ever

- 9.7% of PowerCo's SME customers (1,419 of 14,606) churned in the 3-month window analysed

Complication: price is not clearly the driver, and the model is not yet strong enough

- No single price feature ranks among the top churn drivers; consumption and margin rank higher
- The baseline model finds only 5% of churners (accuracy of 90% is misleading, as ~90% of customers stay)

Question: is price sensitivity the critical factor behind churn?

- Not confirmed so far. To conclude: add competitor prices and customer-service data, and tune the model for recall